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0450/22

February/March 2018

1 hour 30 minutes

Candidates answer on the Question Paper.

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

Write your Centre number, candidate number and name in the spaces at the top of this page.

Write in dark blue or black pen.

You may use an HB pencil for any diagrams, graphs or rough working.

Do not use staples, paper clips, glue or correction fluid.

DO **NOT** WRITE IN ANY BARCODES.

Answer **all** questions.

The Insert contains the case study.

The business described in this question paper is entirely fictitious.

At the end of the examination, fasten all your work securely together.

The number of marks is given in brackets [] at the end of each question or part question.

The total number of marks for this paper is 80.

This syllabus is approved for use in England, Wales and Northern Ireland as a Cambridge International Level 1/Level 2 Certificate.

This document consists of **10** printed pages and **2** blank pages.



CAMBRIDGE
International Examinations

- 1 (a) Explain **two** characteristics that make George a successful entrepreneur.

Characteristic 1:.....

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.....

.....

Characteristic 2:.....

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.....

[8]

(b) Refer to Appendix 3.

(i) Calculate values for:

X:.....

Y:.....

Z:..... [3]

- (ii) Consider whether CC is in a good financial position to expand the business. Justify your answer.

[illegible]

[9]

2

- (a) Identify **two** stakeholder groups for CC. Explain an objective of each stakeholder group you have identified.

Stakeholder group 1:.....

Explanation:.....

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Stakeholder group 2:.....

Explanation:.....

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[8]

- (b) George needs to recruit an additional chef.

Consider the advantages and disadvantages of each of the **three** applicants outlined in Appendix 2. Recommend which applicant George should recruit. Justify your choice.

Jim:.....

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Sally:.....

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Vera:.....

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Recommendation:.....

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[12]

3

(a) Identify and explain **two** roles of marketing for City Café.

Role 1:.....

Explanation:.....

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Role 2:.....

Explanation:.....

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[8]

- (b) Consider the advantages and disadvantages of each of the **two** options for expanding the business. Recommend which option George should choose. Justify your answer.

Option 1:.....

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Option 2:.....

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Recommendation:.....

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[12]

4

(a) Identify and explain **two** reasons why quality is important for CC.

Reason 1:.....

Explanation:.....

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Reason 2:.....

Explanation:.....

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[8]

- (b) Consider the following **three** sources of finance that CC could use for expansion. Recommend which source of finance CC should choose. Justify your answer.

Take out a bank loan:

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Form a partnership with a family friend:.....

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Sell some business assets from the old café :.....

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Recommendation:.....

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[12]

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